

for us to believe that we are suddenly in a more privileged position to see into the future compared to our blind predecessors. Forecasting by bureaucrats tends to be used for anxiety relief rather than for adequate policy making.

The third fallacy, and perhaps the gravest, concerns a misunderstanding of the random character of the variables being forecast. Owing to the Black Swan, these variables can accommodate far more optimistic—or far more pessimistic—scenarios than are currently expected. Recall from my experiment with Dan Goldstein testing the domain-specificity of our intuitions, how we tend to make no mistakes in Mediocristan, but make large ones in Extremistan as we do not realize the consequences of the rare event.

What is the implication here? Even if you agree with a given forecast, you have to worry about the real possibility of significant divergence from it. These divergences may be welcomed by a speculator who does not depend on steady income; a retiree, however, with set risk attributes cannot afford such gyrations. I would go even further and, using the argument about the depth of the river, state that it is the lower bound of estimates (i.e., the worst case) that matters when engaging in a policy—the worst case is far more consequential than the forecast itself. This is particularly true if the bad scenario is not acceptable. Yet the current phraseology makes no allowance for that. None.

It is often said that “is wise he who can see things coming.” Perhaps the wise one is the one who knows that he cannot see things far away.

Get Another Job

The two typical replies I face when I question forecasters’ business are: “What should he do? Do you have a better way for us to predict?” and “If you’re so smart, show me your own prediction.” In fact, the latter question, usually boastfully presented, aims to show the superiority of the practitioner and “doer” over the philosopher, and mostly comes from people who do not know that I was a trader. If there is one advantage of having been in the daily practice of uncertainty, it is that one does not have to take any crap from bureaucrats.

One of my clients asked for my predictions. When I told him I had none, he was offended and decided to dispense with my services. There is in fact a routine, unintrospective habit of making businesses answer questionnaires and fill out paragraphs showing their “outlooks.” I have never had an outlook and have never made professional predictions—but at least *I know that I cannot forecast* and a small number of people (those I care about) take that as an asset.

There are those people who produce forecasts uncritically. When asked